

Superannuation & Retirement Pension Advisory Report

A review of Colonial First State (CFS) published superannuation, MySuper and retirement income products

Prepared for: Superannuation Advisory & Retirement Planning Reference Use

Source basis: Product and performance information published by Colonial First State (cfs.com.au) and its issuers Avanteos Investments Limited (AIL) and Colonial First State Investments Limited (CFSIL)

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General advice warning: This report summarises and compares publicly published product information from Colonial First State. It is general information only, does not constitute personal financial advice, and does not take into account any individual's objectives, financial situation or needs. Fees, returns and rules referenced are as published by CFS at the time of research and are subject to change — always confirm current figures against the relevant PDS and Target Market Determination (TMD) at cfs.com.au before relying on them for advice or product recommendations.

1. Executive Summary

Colonial First State (CFS) is a long-standing Australian superannuation and investment platform provider, majority owned by KKR with a minority interest retained by the Commonwealth Bank of Australia (CBA). CFS administers close to \$150 billion in retirement savings for close to one million members across three MySuper-eligible accumulation products (Essential Super, FirstChoice Employer Super and the FirstChoice Wholesale Personal Super default), a wholesale personal super and pension platform (FirstChoice Wholesale), and a retirement income stream range (FirstChoice Wholesale Pension, covering both account-based and transition-to-retirement pensions).

CFS positions its MySuper Lifestage option as its flagship default product on the basis of below-average administration fees and strong recent investment performance, and has built a dedicated Retirement Income Optimiser to help meet its obligations under the Retirement Income Covenant. The table below summarises the core product set most relevant to superannuation and retirement pension advisory work.

Product	Stage	Best for
Essential Super (MySuper Lifestage)	Accumulation (default)	Members who have not made an active investment choice
FirstChoice Employer Super (MySuper)	Accumulation (default)	Employer default contributions via SG
FirstChoice Wholesale Personal Super	Accumulation (choice)	Members/advisers wanting 200+ investment options
FirstChoice Wholesale Pension	Retirement income	Account-based pension or transition-to-retirement income
Retirement Income Optimiser	Retirement overlay	Sequencing/longevity risk management alongside a pension

2. Superannuation (Accumulation) Products

2.1 Essential Super and FirstChoice Employer Super — MySuper Lifestage

CFS's MySuper offer uses a Lifestage design (developed in collaboration with BlackRock): members are placed into a decade-of-birth cohort (e.g. "Lifestage 1975-79") and the underlying asset allocation is progressively de-risked toward cash and fixed interest as the cohort approaches retirement age, with the shift applied automatically and requiring no action from the member.

CFS reports its MySuper members pay annual fees around 11% lower than the super fund average, and that administration fees on FirstChoice Wholesale Personal Super options for a \$50,000 balance sit at approximately 0.20% p.a. (excluding investment fees, costs and transaction costs, per the Chant West Super Fund Fee Survey, 31 March 2025). Independent third-party review data (Stockspot) cites the CFS Lifestage MySuper fee structure as approximately \$60 p.a. flat administration fee plus roughly 0.04% p.a. administration cost, 0.57%–0.58% p.a. estimated investment fees and costs, and a small transaction cost/buy-sell spread component — figures should be cross-checked against the current PDS as they are not sourced directly from a CFS-published fee table.

Reported net investment performance (FY 2025–26, per CFS market insights):

Product	Lifestage cohort	FY25–26 net return
FirstChoice Employer Super (MySuper)	Growth – 1975-79	12.7%

Product	Lifestage cohort	FY25–26 net return
FirstChoice Employer Super (MySuper)	Balanced – 1965-69	10.8%
Essential Super (MySuper)	Growth – 1975-79	12.7%
Essential Super (MySuper)	Balanced – 1965-69	10.8%
FirstChoice Wholesale Personal Super	Enhanced Index Growth	11.2%
FirstChoice Wholesale Personal Super	Enhanced Index Balanced	10.1%

CFS states this is its fourth consecutive year of double-digit returns for MySuper Lifestage growth and balanced cohorts, with four-year annualised net returns of 13.0% (Employer Super Growth 1975-79) and 11.2% (Employer Super Balanced 1965-69). Past performance is not a reliable indicator of future performance.

2.2 FirstChoice Wholesale Personal Super — Choice Option

The wholesale personal super option is CFS's platform for members or advisers wanting active investment choice rather than the Lifestage default. Key published features:

- More than 180–200+ investment options across 70+ external and internal fund managers.
- Insurance choices: death-only cover, death & Total and Permanent Disablement (TPD) cover, and salary continuance (income protection) insurance — cover amount, exclusions, limits and premiums should be checked against the current insurance guide before recommending a level of cover.
- Online account management via the FirstNet member portal and mobile app.
- Entry point from as little as \$1,000 for the investments range.
- FirstChoice Managed Accounts are available to advised members as a professionally managed portfolio alternative to self-selecting individual investment options.

2.3 Governance and Issuers

Avanteos Investments Limited (AIL) is trustee of the Colonial First State FirstChoice Superannuation Trust and issuer of the FirstChoice super and pension range. Colonial First State Investments Limited (CFSIL) is responsible entity and issuer for FirstChoice Investments and FirstChoice Wholesale Investments (non-super). Both entities note that general information published on the CFS website may include general advice and does not consider an individual member's objectives, financial situation or needs — advisers should direct clients to the relevant PDS, TMD and Financial Services Guide (FSG) before an investment decision.

3. Retirement Pension Products

3.1 FirstChoice Wholesale Pension

FirstChoice Wholesale Pension is CFS's retirement income platform, structured as either an account-based pension or a transition-to-retirement (TTR) pension depending on the member's age and work status. Published features include access to 200+ investment options from 70+ fund managers, a competitive fee structure relative to the accumulation platform, and flexible, adjustable income payment schedules.

- Investment earnings inside a retirement-phase account-based pension are not taxed, in contrast to the concessional tax rate that applies to earnings in the accumulation phase.
- Members can choose how much they are paid each year (subject to the legislated minimum drawdown percentage for their age) and how often, and can restructure the payment schedule at any time.
- Like-for-like transfers between eligible FirstChoice products do not attract a buy/sell spread.
- CFS was recognised by Money magazine as 'Best of 2024 – Best Fixed Interest Pension Product' for its FirstChoice Wholesale Pension First Sentier Global Credit Income option.

Representative multi-sector option performance (FirstChoice Wholesale Retirement Pension, to December 2025):

Option	1 yr	3 yr p.a.	5 yr p.a.	Since inception p.a.
CFS Conservative	6.48%	6.77%	4.38%	5.12%
CFS Balanced	9.94%	11.17%	7.12%	8.15%
CFS Diversified	8.46%	9.25%	5.58%	5.33%
CFS Growth	10.72%	12.10%	7.96%	7.46%
CFS High Growth	12.58%	14.44%	9.83%	8.18%
CFS Geared Growth Plus	19.56%	21.91%	14.43%	9.63%

Figures are net returns as published by CFS and are not indicative of future performance; geared and high-growth options carry materially higher volatility and are generally unsuitable for capital-stability objectives close to or in retirement.

3.2 Transition to Retirement (TTR)

For members who have reached preservation age but have not fully retired, FirstChoice Wholesale Pension can be structured as a TTR income stream, allowing a limited annual drawdown while the member continues to work and receive superannuation guarantee contributions — commonly used to progressively reduce working hours or to improve retirement outcomes through a contribution/pension income mix.

3.3 Retirement Income Optimiser

CFS has developed a Retirement Income Optimiser, described as a complementary retirement income strategy for use alongside a CFS lifetime pension (in development) and an account-based pension.

Published objectives are to:

- introduce an income stream for life;
- retain investment growth and liquidity when combined with an account-based pension;
- jointly manage sequencing risk (poor early returns in retirement) and longevity risk (outliving savings); and
- tailor outcomes to a client's personal circumstances and Centrelink Age Pension interactions.

The feature operates automatically within a member's FirstChoice Wholesale Personal Super account (opt-out basis) at no additional cost while the member remains in the accumulation phase; FirstChoice Employer Super members are not auto-enrolled but can request it. This positions the product as CFS's

response to the Retirement Income Covenant obligation to help members manage longevity and sequencing risk while retaining flexible access to savings.

4. Fees at a Glance

CFS publishes fee comparisons against the Chant West Super Fund Fee Survey and reports its MySuper administration fees as below the industry average. The figures below are as published by CFS or cited from independent review sources noted in the table; always verify against the current PDS before use in advice.

Item	Published figure	Source
FirstChoice Wholesale admin fee (ex. FirstRate), \$50k balance	≈0.20% p.a.	CFS (Chant West survey, 31 Mar 2025)
MySuper annual fee vs super fund average	≈11% lower	CFS market insights (2025)
Essential Super / CFS Lifestage flat admin fee	≈\$60 p.a. + ≈0.04% p.a.	Independent review (Stockspot)
Essential Super / CFS Lifestage investment fees & costs (est.)	≈0.57%–0.58% p.a.	Independent review (Stockspot)
Buy/sell spread, like-for-like FirstChoice transfers	Nil	CFS Pension application guide
Retirement Income Optimiser (within FirstChoice Personal Super)	No additional cost	CFS Retirement Income Optimiser page

5. Suitability Considerations for Advisory Use

The following considerations align CFS's published product set with standard superannuation advisory and regulatory-compliance checkpoints (suitability, disclosure and audit-trail requirements):

- **Default/no-choice members:** Essential Super or FirstChoice Employer Super MySuper Lifestage is the appropriate default recommendation, since it is the authorised MySuper product and requires no ongoing investment decisions from the member.
- **Members wanting investment choice:** FirstChoice Wholesale Personal Super is appropriate only where the broader investment menu, insurance flexibility or managed-account access is matched to a documented client objective — the wider fee range across 200+ options makes fee disclosure per selected option essential.
- **Clients approaching or in retirement:** FirstChoice Wholesale Pension (account-based) should be assessed against the client's income needs, the legislated minimum drawdown for their age, and Age Pension/Centrelink interactions; the Retirement Income Optimiser is relevant where longevity and sequencing risk are material concerns.
- **Clients still working past preservation age:** a TTR structure should be considered only where it meets the client's cash-flow or hours-reduction objective, noting the 10% annual maximum drawdown cap that applies to TTR income streams generally.
- **Insurance inside super:** any CFS product recommendation that changes default death, TPD or income protection cover should separately disclose the premium and cover impact, consistent with insurance-in-super disclosure obligations.
- **Historical compliance note:** in 2021 the Federal Court found Colonial First State Investments had made misleading representations to around 13,000 FirstChoice members regarding their MySuper transfer rights — a reminder that member communications about staying in, or moving out of, a default MySuper product must be accurate and cannot be used to retain members in higher-fee legacy options.

6. Key Source Pages

This report was compiled from information published at cfs.com.au, including the FirstChoice Wholesale Pension product page, the CFS retirement/join pages, the CFS MySuper performance and market-insights pages, the Retirement Income Optimiser page, and FirstChoice PDS-related reference documents. For advice or compliance-verification use, always retrieve the current, dated PDS and TMD directly from cfs.com.au rather than relying on this summary.

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